

Investment Suitability, Risk Profiling & Product Due Diligence Policy

Meridian Peak Wealth Partners (Singapore) Pte. Ltd. — Private Wealth Management Division

Document Code

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Classification

Internal Use Only

1. Purpose

This Policy governs how client risk profiles are determined and how they must be matched against product risk ratings before any recommendation or sale, consistent with the Financial Advisers Act (FAA) and MAS Notice on Recommendations on Investment Products (FAA-N16).

2. Client Risk Profiling

Every client must complete a Risk Profile Questionnaire (RPQ) at onboarding and at least every 2 years, resulting in a Risk Score from 1 (most conservative) to 10 (most aggressive) and a corresponding Risk Profile category:

Risk Score	Risk Profile	Typical Objective
1 - 2	Conservative	Capital preservation; minimal tolerance for loss
3 - 4	Cautious	Modest growth with limited downside
5 - 6	Balanced	Growth and income; can tolerate moderate volatility
7 - 8	Growth	Capital growth; accepts meaningful short-term losses
9 - 10	Aggressive Growth	Maximum growth; accepts high volatility and illiquidity

3. Product Risk Rating (Specified Investment Product / SRI Scale)

All products distributed by the firm are assigned a Summary Risk Indicator (SRI) from 1 (lowest risk) to 7 (highest risk) by the Product Due Diligence Committee before approval for sale. Products rated SRI 6 or 7, or otherwise classified as Specified Investment Products (SIPs) under MAS rules (e.g. structured notes, derivatives-linked instruments, leveraged/inverse products), are classified as **Complex Products**.

4. Sale of Complex Products — Mandatory Requirements

- A Customer Account Review (CAR) / Customer Knowledge Assessment (CKA) must be completed and passed before a first sale of any Complex Product to a Retail Investor.
- Complex Products may only be recommended to clients with a Risk Score of 7 or above (Growth or Aggressive Growth profile), UNLESS the client is an Accredited Investor, Expert Investor, or Institutional Investor as defined under the Securities and Futures Act (SFA).
- Where a client's Risk Score is below 7 but the client independently instructs a purchase of a Complex Product without a recommendation (execution-only), the RM must issue a written risk acknowledgement and obtain the client's signed confirmation before the trade is executed.
- No Complex Product may represent more than 20% of a Retail Investor's liquid net worth at the time of sale, absent documented senior management exception.
- All Complex Product sales require independent Compliance pre-trade sign-off.

5. Ongoing Suitability Monitoring

RMs must review portfolio-level suitability at each periodic review (Section 3 of POL-KYC-004) and immediately upon any change in client risk profile, financial circumstances, or investment objective. A holding that no longer matches the client's current Risk Profile must be flagged in the review record as a **Suitability Exception** and escalated to Compliance within 5 business days.

6. Red-Flag Indicators (Non-Exhaustive)

- Client states, verbally or in writing, that they do not understand a product they hold or are being sold.
- A Conservative or Cautious-profile client holds a Complex Product without a signed risk acknowledgement on file.
- Concentration of a single Complex Product exceeds policy thresholds in Section 4.
- Elderly or first-time investors being recommended products rated SRI 6 or 7.

Escalation: Any red flag identified above must be escalated to Compliance and the client's Risk Profile / holdings reconciled before further Complex Product transactions are accepted on the account.

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